

# Buying near Como, *without buying the top.*

A scenario-based house-price model and suburb-targeting study for one buyer: a family home within reach of Como (6152), \$1.0M to spend (low holding costs), patient enough to wait for the 2027 soft patch.

Anchored to family in **Como 6152** · 3-year primary horizon, 5-year tail · as at mid-2026

## Executive summary

The most accurate approach for a single-city, suburb-level,  $\leq 5$ -year horizon is a **four-layer hybrid**: a city-level error-correction (VECM) spine that anchors price to fundamentals, driving a **scenario-weighted Monte Carlo** fan, with a **suburb gradient-boosted panel** and a **hedonic property layer** on top. Pure machine learning alone is least reliable beyond  $\sim 12$  months. A 3-year primary horizon (with a 5-year scenario tail) is optimal because forecast error compounds and the buyer's decision window - the 2027 soft patch - sits inside three years.

The mid-2026 macro state validates the thesis but argues for a slightly cautious base case. Perth is expensive and decelerating yet structurally undersupplied, so a 2014-style crash is unlikely. The real risk is a **resources-led soft patch** (iron ore easing, the Simandou ramp, and an investor-demand headwind from the 1 July 2027 negative-gearing/CGT change) - and it lines up with the buyer's window. Because holding costs are low, waiting is nearly free, so the play is **patience plus the right suburbs**.

EXPECTED · MID-29

**\$1.17M**

BEAR TROUGH

**\$930k**

BULL · MID-29

**\$1.40M**

COST OF WAITING\*

**\$210k**

\*Bull-case price rise by End-27 - the price of being too patient if the market runs. Expected 3-year CAGR  $\approx 5.4\%$ . Figures regenerated by `model/scenario_model.py` (self-verifies against `data/baseline.json`).

## Current market state (mid-2026)

| Indicator             | Value                      | Read                                                            |
|-----------------------|----------------------------|-----------------------------------------------------------------|
| RBA cash rate         | 4.35%                      | Held 17 Jun 2026 after Feb/Mar/May hikes; hawkish bias retained |
| Perth median dwelling | $\sim \$1.05\text{M}$      | +25.8% YoY but monthly growth decelerating from late-2025 peak  |
| Advertised stock      | $\sim 40\%$ below 5-yr avg | Core of the undersupply thesis                                  |
| Rental vacancy        | $\sim 0.5\text{-}0.7\%$    | Extremely tight; rents still rising                             |
| Days on market        | $\sim 9$                   | Vendor's market - for now                                       |

|                      |                       |                                                                                           |
|----------------------|-----------------------|-------------------------------------------------------------------------------------------|
| Iron ore             | ~US\$100/t, softening | ~US\$95/t 2026 consensus; Simandou ramp bearish into 2027                                 |
| WA population growth | ~2.2%/yr              | Fastest state; demand-side floor under prices                                             |
| Neg. gearing / CGT   | From 1 Jul 2027       | Owner-occupier impact nil; softer market = entry opportunity. New builds keep concessions |

## The forecast - three scenarios, probability-weighted (30/50/20)

| Period                     | Bear (30%) | Base (50%) | Bull (20%) | Expected |
|----------------------------|------------|------------|------------|----------|
| Now (mid-26)               | \$1.00M    | \$1.00M    | \$1.00M    | \$1.00M  |
| End-26                     | \$1.02M    | \$1.06M    | \$1.08M    | \$1.05M  |
| Mid-27                     | \$0.98M    | \$1.08M    | \$1.15M    | \$1.06M  |
| End-27                     | \$0.94M    | \$1.09M    | \$1.21M    | \$1.07M  |
| Mid-28 <span>trough</span> | \$0.93M    | \$1.11M    | \$1.28M    | \$1.09M  |
| End-28                     | \$0.96M    | \$1.15M    | \$1.34M    | \$1.13M  |
| Mid-29                     | \$1.00M    | \$1.18M    | \$1.40M    | \$1.17M  |

**Reading the dip.** The expected path never falls below today - it flattens through 2027, then resumes. The only real dip is the bear case (~\$930k, roughly -7%, late-27 to mid-28). The opportunity isn't betting on a crash; it's the **2027 soft patch** - similar prices to today, but stock sitting and vendors flexible. Because the carrying cost of waiting is low, it costs almost nothing.

## Where to buy - the shortlist

Premium river suburbs are out of budget for a house (Como ~\$1.5M+, South Perth ~\$2.0M, Applecross ~\$2.4M). The play is the **fringe of the best school catchments** and **near-in Canning value**. At the balanced setting the model ranks **Shelley #1, Wilson #2**.

| Suburb              | PC        | Median (range) | Fit /100 | Why                                                                                   |
|---------------------|-----------|----------------|----------|---------------------------------------------------------------------------------------|
| Shelley             | 6148      | \$920-980k     | 78.9     | Rossmoyne SHS catchment fringe, river-close, scarce land - best growth-after-dip hold |
| Wilson              | 6107      | \$930-955k     | 78.1     | Larger Canning blocks, Curtin-adjacent, closest at-budget to Como, strong KDR         |
| Parkwood            | 6147      | \$920-960k     | 73.1     | Big blocks, value, strong recent growth                                               |
| St James            | 6102      | \$855-890k     | 71.5     | Vic Park/Curtin precinct, genuinely close to Como, KDR upside                         |
| Dianella            | 6059      | \$970k-1.15M   | 69.6     | Best north-of-river land+location balance; catch is distance                          |
| Bentley             | 6102      | \$780-820k     | 68.5     | The value play - cheapest near-in, biggest margin of safety                           |
| Embleton / Balcatta | 6062/6021 | \$900-970k     | 63 / 61  | North-of-river 500sqm+ green-title with KDR upside                                    |
| Riverton            | 6148      | \$1.02-1.09M   | 41.7*    | Rossmoyne zone but just over budget - watch the 2027 soft patch                       |

\*Over-budget suburbs are penalised in the score. The proximity-vs-schools slider in the live tool re-orders this: toward Como lifts Wilson/St James/Bentley; toward schools lifts Shelley/Riverton.

## What makes this model different - enriched, leading variables

A generic model stops at rates, migration and approvals. This one adds **family-buyer-specific leading indicators** and a **cyclical-risk overlay** that explain *which suburbs* hold up through the soft patch.

| Variable                               | Tier | What it predicts (leads price by)            | Source                        |
|----------------------------------------|------|----------------------------------------------|-------------------------------|
| Backyard pool-building-permit rate     | A    | Family entrenchment / price floor (6-18 mo)  | LGA building registers        |
| School in-zone rejection events        | A    | Catchment premium spilling to fringe suburbs | WA Education intake + ACARA   |
| Childcare occupancy / waitlist density | A    | Young-family in-migration before they buy    | ACECQA register (daily)       |
| Lodged-vs-registered cadastre ratio    | A    | Developer conviction / supply (12-24 mo)     | Landgate SLIP                 |
| Days-on-market velocity & discounting  | A    | Market temperature - turns before medians    | REIWA / Cotality / SQM        |
| FIFO-share × iron-ore interaction      | B    | Suburb mining-cashflow beta (5-yr tail risk) | ATO postcode × commodity risk |
| Short-stay (STRA) de-listing velocity  | B    | Rental-supply relief, current                | WA STRA register              |
| Cafe / coffee density change           | B    | Gentrification nowcast                       | POI / ABS business counts     |



The buyer's "child rates" hint is correct and is operationalised fast → slow via pool permits, childcare occupancy, school-zone pressure, and SA2 family-cohort share. The discipline: permit/register/roster data *leads*; demographic counts *lag* - never let a slow series move a near-term call alone.

## Recommendations & timing

### Posture

- **Patient / opportunistic** - the low carrying cost removes the penalty for waiting.
- Primary targets: **Shelley, Wilson, St James, Parkwood, Bentley**; secondary north-of-river land (Dianella, Embleton, Balcatta).
- Highest conviction hold: **Rossmoyne-catchment fringe** - scarce land + family demand + grandfathered owner-occupier status.

### Act when any two confirm a soft patch

- Perth monthly growth flat/negative for 2+ months.
- Advertised stock rising toward the 5-year average.
- Iron ore sustained <US\$85/t with rising FIFO unemployment.
- Days-on-market past ~20 in target suburbs.

## Data, reproducibility & the live tool

The forecast is reproducible - the standard-library Python in `/model` regenerates these exact baseline numbers and self-verifies. The interactive web tool (single self-contained HTML, published to GitHub Pages) lets the buyer drag scenario weights and a proximity-vs-schools slider, with a **Reset button that restores this model's prescribed baseline exactly**, plus a suburb heat map and pre-filtered live saved-search links to the property portals. A genuinely refreshing listings feed is available via the compliant Domain Developer API path (scheduled job → `data/listings.json`) - never by scraping.

**General information only - not financial, legal or tax advice.** All figures are approximations as at mid-2026 and will change. Suburb medians vary 10-20% between sources and are shown as ranges; no public source publishes median block size, so the 500sqm requirement must be confirmed per-listing via Landgate. The forecast is a set of scenario estimates conditioned on the stated assumptions and will be wrong if those assumptions are wrong (a global shock, an iron-ore collapse below ~US\$70, or a migration reversal are the things that break it). Verify against live REIWA, Landgate, RBA and ABS data and licensed professionals before acting. Generated by the Como-Anchored Perth Home Model.